PPS Head Start Change in Scope Executive Summary

- **What is changing:** Portland Public Schools Head Start plans to reduce the number of federally funded Head Start slots by **90**, from **297 to 207**, beginning in **September 2026** for the 2026–27 school year.

  The program proposes 90 slots through the following calculation:

  - 65 slots currently filled by over income families;
  - 20 unfilled slots;
  - 5+ for waitlist variance.

- **Why this change is needed:** The adjustment reflects higher staffing costs, changes in community need, and the amount of funding available through the federal Head Start grant.
- **Community trends:** Fewer families now qualify for Head Start based on income, and more publicly funded early learning options are available across the community. Population shifts, including lower birth rates and rising housing costs, have also reduced demand.
- **Enrollment efforts:** PPS Head Start has successfully met enrollment requirements; however, waitlists have remained small and, at times in recent years, insufficient to remain fully enrolled every month.
- **Financial sustainability:** Rising personnel costs with the current level of funding cannot sustainably support the existing number of slots. A Change in Scope is a means to increase program funding allocations per slot (revenue increase).
- **How this change helps:** Reducing the number of slots allows the program to better match funding with actual enrollment, operating costs and personnel costs to ensure long-term program stability.
- **Impact on families: No currently enrolled children or families will be affected.** The change will take place for the 2026–27 school year.
- **Program quality:** Classroom models, schedules, and services will remain the same. PPS Head Start will continue providing high-quality, comprehensive services to children and families.
- **Looking ahead:** This change supports staff stability and ensures PPS Head Start can continue serving families effectively throughout the remainder of the grant period.

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Portland Public Schools Head Start (PPS) requests a Change in Scope (CIS) for our Head Start program. This application and request are for a reduction in slots across our sites. We would like these changes to align with fall enrollment for next school year, beginning September 2026.

Program Narrative

Proposed reduction

PPS is applying to reduce the total federally funded slots by 90, reducing total slots from 297 to 207. In order to make this reduction we will close five classrooms at chronically under-enrolled locations. This reduction will allow the program to consistently reach and maintain at least 97% enrollment with a strong waitlist throughout the year. Further, the program will be able to meet contractual requirements for staff pay and benefits. As the change will not occur until the program's next enrollment year no enrolled families will be displaced or impacted. This change will ensure sustainability as the populations shift (both in need and number) and costs continue to increase. The goal is to maintain quality support for students, families and staff by creating a sustainable funding structure through the end of this grant cycle.

Justification

PPS is requesting these changes in order to ensure full enrollment and retain staff by meeting contractual salary requirements. Based on the program Community Needs Assessment, student enrollment data, and salary requirements for staffing, the following reasons have contributed to the decision to apply for a reduction.

1. **Challenges with addressing full enrollment:** PPS has been on an under-enrollment plan since January 2023. While PPS has worked to reach full enrollment, we have struggled to consistently meet the 97% minimum.
    a. **Increase in families who are over 130% FPL:** Although the program has reached 97% enrollment for this school year, we continue to see a reduced waitlist, with an increasing number of families who are over income. The current waitlist includes 50 families, 96.2% of which are over income. We have updated our selection criteria annually which has led to the number of over-income families who qualify with "other needs" reaching the 10% capacity consistently over the past four enrollment cycles.

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School Year	Percent Enrolled	% of waitlist Over Income
2022-23	87%	56.2%
2023-24	92%	66.4%
2024-25	92%	84.8%
2025-26	97%	96.2%

b. **Increased saturation of care options in service area:** PPS Head Start shares the same service area with Albina Head Start, and there are two other Head Start providers within Multnomah County. Other publicly funded programs in the area include Preschool Promise (state funded) and Preschool For All (county funded). Both Preschool Promise and Preschool For All are projected to expand over the coming years.

Preschool Program	Total Preschool Slots
Portland Public Schools Head Start	648
Albina Head Start	575
Preschool Promise	587
Preschool For All	613
**numbers as of July 2025, PPS Community Needs Assessment*	

c. **Population decline:** As evidenced in the Community Needs Assessment, our service area has experienced a 17% decline in K-12 school enrollment in the last three years. This is due in part to declining birth rates, rising costs of living, and a shortage of affordable housing in the city. Between 2010-2020 birth rates in Multnomah County declined by 24% and continued that decline through the pandemic. Further, the cost of living in Portland is 26% more than the average US city, and the highest in Oregon. This has forced residents to move outside of the city limits and therefore outside of the service area. Data from 2023 Community Needs Assessment shows that 46% of households in Multnomah County have an annual income less than the threshold needed to avoid financial hardship as opposed to 30% in 2019, meaning more families are struggling to make ends meet. Portlanders often earn more

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than the typical American worker; however due to costs — particularly higher housing costs — the average incomes don't stretch as far as the raw figures might suggest.

	Nationally	**Portland Metro Area**
Median Household Income	$83,730	$88,792
Housing Cost Index	100 (baseline)	207 (far exceeds baseline)
Average Cost of Living	100% (baseline)	+25-38% higher
**data from US Census and Bureau of Labor reports*		

2. **Increase in staffing costs:** In 2023-24 both the teacher and classified unions negotiated significant pay increases for staff. This caused a need for restructuring within the program, both operationally and related to program-wide support staff (administrators, clerical, and content area support staff). Despite these changes, the salary schedules will continue to increase on an annual basis in accordance with bargaining agreements. Total compensation is expected to climb 6% in fiscal year 2027 as well; fringe is increasing from 31% to 34% of annual salary, along with health insurance costs. This will impact the overall ability of the program to stretch the budget to meet requirements. By reducing the number of total slots, the program will be positioned to retain qualified staff in order to provide high quality services to the community.

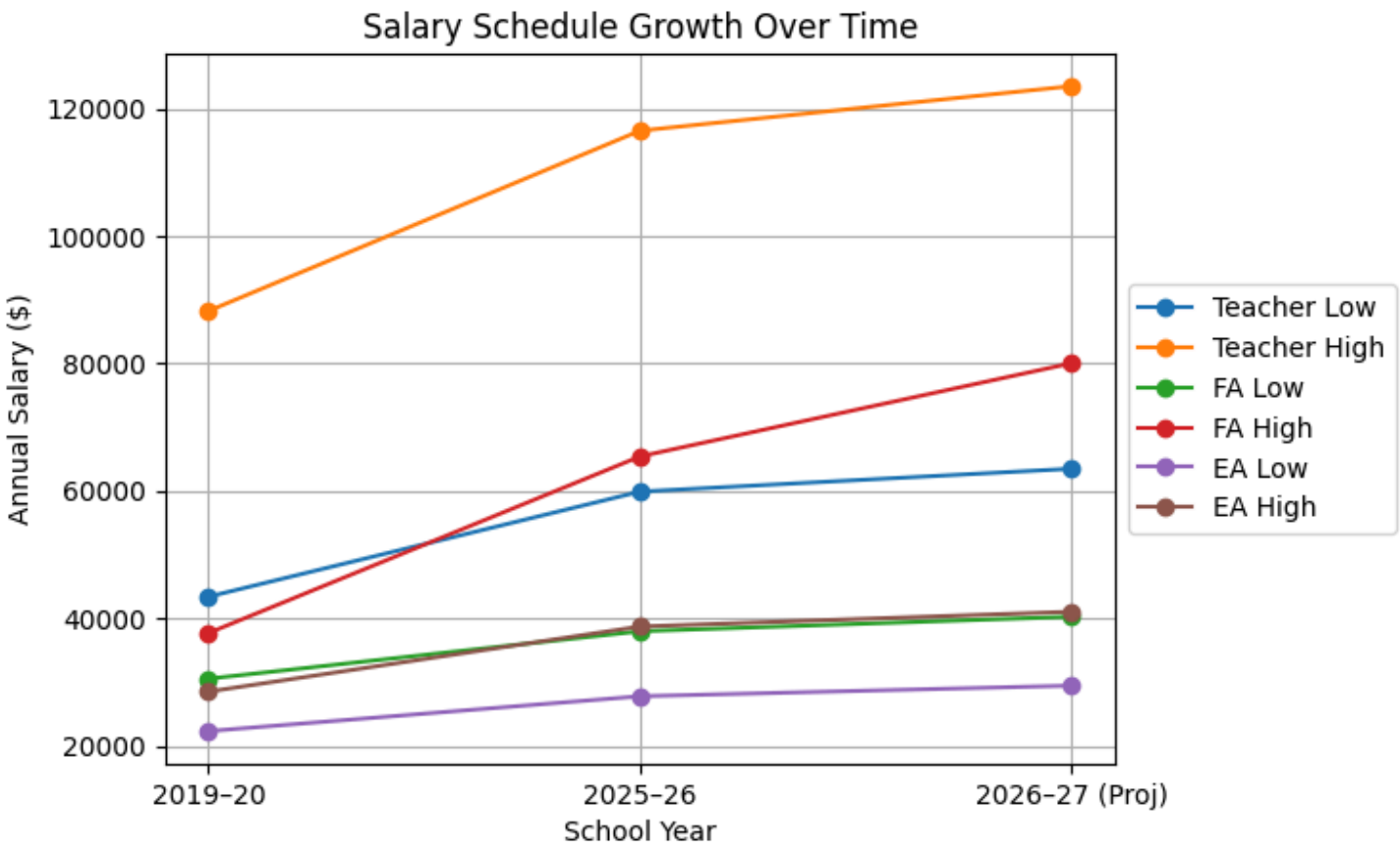
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Annual Salary Step Chart (Low to High End 2019-2027)

Annual Salary	2019-2020	2025-26	2026-27 (Projected)	Current Program Average	Retention: % in of staff in program >10 yrs
Licensed Educator (PAT) Salaries	$43,382 to $88,216	$59,874 to $116,506	$63,466 to $123,496	$94,625	57%
PFSP Family Advocate Salaries	$30,520 to $37,678	$37,970 to $65,395	$40,248 to $80,024	$49,142	32%
PFSP Education Assistant Salaries	$22,297 to $28,493	$27,767 to $38,707	$29,433 to $41,029	$29,941	

- **Licensed Teachers:** A majority of PPS Head Start teachers are placed in the upper range of the salary schedule, reflecting workforce stability and longevity. Over a two-year period (2024–2026), teacher turnover remained low, with 4 of 51 teachers (7.8%) resigning or separating. This increases personnel costs over time as shown in the Salary Schedule Growth Over Time chart. Adding to this increase are the total compensation numbers, including fringe and health rates that are determined by labor contracts. For example, a teacher with an annual salary of $97,526 is receiving a total compensation of $151,593 when included in their current fringe ($30,506) and health insurance ($23,561).
- **PFSP Family Advocates:** A majority of PPS Head Start Family Advocates are positioned in the lower portion of the salary schedule. However, once fringe and health insurance are included, total compensation per employee increases significantly. For example, the amount the program pays for a Family Advocate whose annual rate is $39,291 increases to $71,922 total compensation when fringe and health insurance are included.
- **PFSP Education Assistants:** A majority of PPS Head Start Education Assistants, our largest employee group, are positioned in the lower portion of the salary schedule. However, once fringe and health insurance are included, total compensation increases significantly. For example, the amount the program pays for an Educational Assistant whose annual rate is $35,388 increases to $66,798 when fringe and health insurance are included.

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Wage Comparability

PPS exceeds the current performance standards requirements related to compensation, credentials, and working conditions; the program sets the pace for other area programs. Program standards are established through collective bargaining agreements for our licensed teachers and classified staff, which represents the majority of PPS Head Start employees. As a result, personnel costs reflect contractual obligations that support staff retention, professional qualifications, and high-quality service delivery. These compensation levels apply across all district instructional staff. The proposed CIS reflects enrollment and funding alignment considerations rather than wage-setting decisions.

PPS teacher wages are highly competitive within Oregon. Under the current PAT (Portland Association of Teachers) salary schedule, the Step A rate is $57,206, which is approximately 28.7% above Oregon's average starting teacher salary ($44,446). The salary schedule also reflects continued negotiated increases in recent years, supporting workforce stability and credential attainment. Staff turnover is low, due to staff being compensated at higher step levels.

Service Delivery Model and Schedule

No changes planned for service delivery model or schedule.

Administrative and Supervisory Structure

Indirect charges for administrative costs are approved annually by the Oregon Department of Education based on information provided by the District's accounting department. Indirect charges are automatically calculated by the District's ERP each month for each grant based on monthly expenditures. Supervisory adjustments will be made proportionately to align with the reduction in classrooms. Workloads will also be redistributed to ensure continued program quality and compliance.

Budget Considerations

Program fiscal data shows that due to employee labor costs, established through collective bargaining agreements, current and projected personnel expenses exceed the funding capacity of the existing Head Start grant and non-federal match Oregon Pre-Kindergarten (OPK) state grant. Without adjustments to funded enrollment levels or cost allocation, the program is projected to remain structurally underfunded in the next school year. To address this imbalance, the table below illustrates the relationship between the federal Head Start award and funded enrollment. By reducing the federally funded enrollment by 90 slots the total federal award will be distributed across fewer children. This adjustment increases per-slot federal funding, better aligning resources with rising labor costs and the evolving needs of families served.

Current vs. Proposal Federal Head Start Funding – Per Slot Comparison Analysis

Scenario	Per Slot (Fed Award / Slot)	Per Slot (Federal Award)	Total Federal Award
Current	297	$21,488.95	$6,382,217
Proposal FY27 CIS	207	$30,832	$6,382,217

Current Allocation and Cost per Child (Non – Federal Match OPK + Federal)

The current Cost Allocation Plan is no longer sustainable due to rising salary costs. PPS strives to set a living wage in the education field as displayed through our efforts in employee compensation while providing quality education

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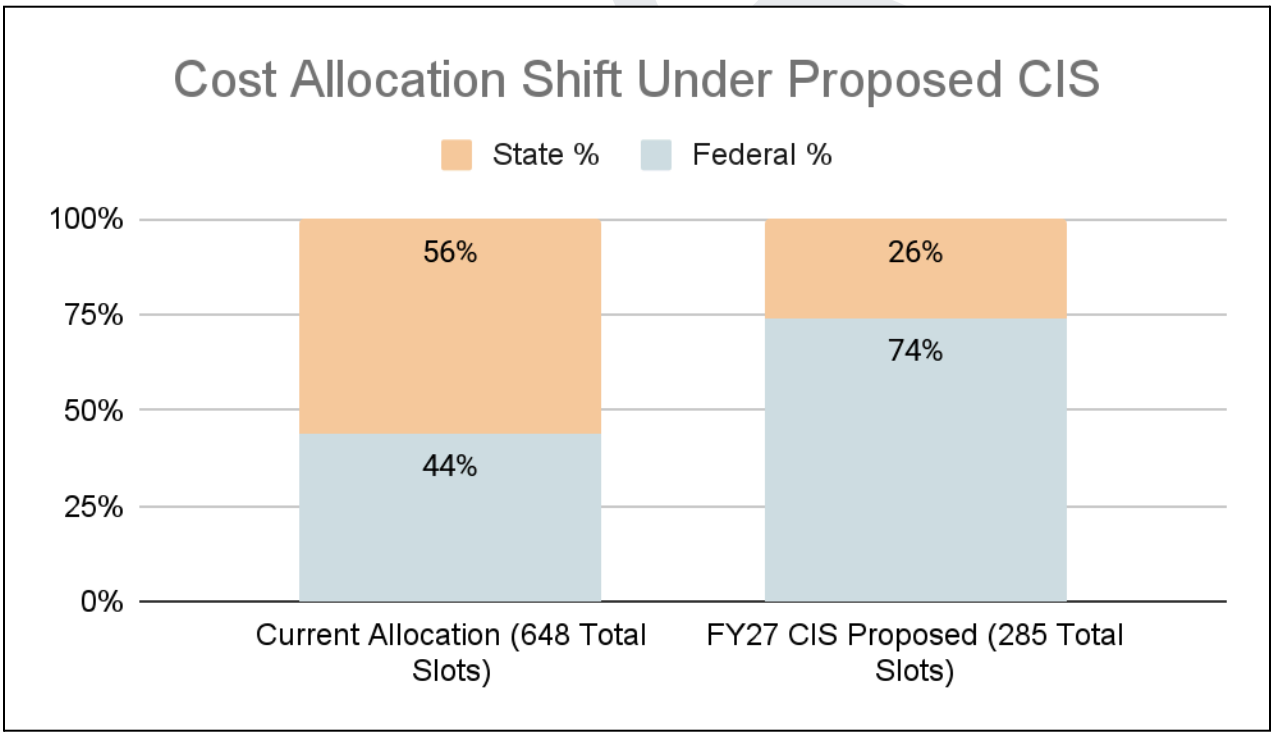
and services to our students. Without a CIS, a 6% increase in total compensation will exceed our $8.5M State OPK award as well as our Federal Award of $6.38M.

Proposed Allocation and Cost per Child (Non – Federal Match OPK + Federal)

Implementation of the CIS will result in updates to the program cost allocation plan. As federally funded enrollment slots are reduced, proportional cost allocation adjusts in accordance with approved methodology and slot distribution. Currently, the cost allocation is 44% federal and 56% non-federal match. Under the proposed CIS, the allocation will shift to 75% federal and 25% non-federal match.

Proposed Configuration (285 Total Slots)

Funding Source	Slots	% of Total	Cost per Child
Non-federal Match (OPK)	78	26%	$24,220.50
Federally Funded (Head Start)	207	74%	$30,832.00



Cost Allocation Methodology

- Classroom personnel and classroom-specific costs are allocated based on proportional allocation, reflecting the direct benefit provided to each program. The OPK funding requirements are patterned after the federal

allowable costs, so expenses are split between the two funding sources based on the percentage of funding from each source. Our direct classroom and site support staff positions are allocated based on total slot enrollment at each site. For example, our braided Federal Head Start and State OPK classrooms are predominantly 14/5 (75% & 25% split).

- All other expenses are split between the federal and non-federal match (OPK) funds based on the percentages listed above. Federal Head Start and OPK funds are tracked under separate grant numbers in the PPS financial system, and journal entries are made as needed to ensure that spending follows the individual budgets.

Non-Personnel Expenses

There are no equipment or facilities purchases or improvements planned. There will be no change to transportation and only minimal increase to supply costs anticipated due to inflation. The program will continue leveraging local partnerships and contracted services to manage operational costs efficiently. Out-of-district travel remains limited and compliant with the Federal T/TA Plan.

Staffing & Personnel

Staffing adjustments will be evaluated to align expenditures with available funding while maintaining program quality and compliance with staffing requirements. Adjustments will be made proportionately to align with the reduction in classrooms. This is inclusive of: family advocates, supervisors, support staff, etc. Workloads will also be redistributed to ensure continued program quality and compliance. With the proposed CIS and revised cost allocation, the program is projected to align Head Start expenditures with available federal funding in FY27.

Implementation Timeline

- Early March-Submit Change in Scope to HSES for approval
- Early April-Staffing adjustments made
- March 1st-Enrollment for 2026-27 school year opens
- September 2026-Approved updates fully implemented

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Summary of Change In Scope Proposal

Portland Public Schools (PPS) Head Start requests approval for a Change in Scope to reduce federally funded Head Start enrollment by 90 slots, from 297 to 207, effective September 2026 at the start of the 2026–27 program year. This adjustment is necessary to align funded enrollment with demonstrated community demand, rising personnel costs driven by collective bargaining agreements, and the fiscal capacity of the current federal award.

Despite sustained implementation of a Full Enrollment Initiative, PPS Head Start has faced persistent challenges meeting the 97 percent enrollment requirement. Community Needs Assessment data show a declining pool of income-eligible families, increasing saturation of publicly funded early learning options in the service area, and population shifts resulting from declining birth rates and rising housing costs. While enrollment has improved over time, waitlists increasingly consist of families who are over income or whose preferences cannot be met, limiting the program's ability to sustain full enrollment under the current slot configuration.

Personnel costs now exceed the funding capacity of the existing federal award. Without a reduction in slots or revised cost allocation, the program is projected to remain structurally underfunded in FY27. The proposed Change in Scope increases per-slot federal funding by distributing the existing award across fewer children, improving alignment between expenditures and available federal resources while maintaining compliance with wage comparability and cost allocation requirements.

Implementation of the Change in Scope will involve the closure of five chronically under-enrolled classrooms. No currently enrolled families will be displaced, as changes will take effect prior to the opening of enrollment for the 2026–27 program year. Service delivery models, schedules, and administrative structures will remain unchanged. This request supports fiscal sustainability, staff retention, and continued delivery of high-quality comprehensive services through the remainder of the grant period.

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2026 PPS Head Start Change in Scope Statement of Approval

The PPS Head Start Policy Council approves the submission of a Change in Scope request to the Office of Head Start to adjust funded enrollment beginning in the 2026–2027 program year. The Policy Council recognizes that this request is based on program data, community need, and the goal of maintaining high-quality services and stable staffing. The Council supports this action as being in the best interest of enrolled children, families, and the long-term strength of the program.

Parent Policy Council Chair Date

The [Portland Public Schools Board of Education] approves the submission of a Change in Scope request to the Office of Head Start to adjust funded enrollment for the PPS Head Start program effective September 2026. This action supports alignment of program design with current community demand, workforce capacity, and available resources. The Board affirms that the proposed changes are data-informed and intended to maintain high-quality services for children and families while ensuring long-term program sustainability.

PPS School Board Chair Date

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